not need such attention. Moreover, the problem in India is too much risk ends up on bank balance sheets, either directly or indirectly. For example, Non-Bank Finance Companies (NBFCs) are supposed to take on greater risk, such as loans to real estate developers, because their liabilities are longer term. In actuality, though, many have substantial borrowings from banks. It would be better from the perspective of systemic risk if they replaced bank financing with market borrowing. More generally, some of the very large single and group exposures of banks should be brought down by forcing large borrowers to raise more market financing.

Third, we worry about unbridled innovation that attempts to get around prudential and supervisory norms and ends up creating uncertain valuations and systemic risk. For instance, the fixed income products and derivatives structured around housing mortgage pools in the United States became hard to value as house prices turned down. This was a primary factor in the Global Financial Crisis. Once again, though, financial innovation has been useful in opening credit to the hitherto underserved – the unfortunately named 'junk' bonds have indeed facilitated the growth of a variety of enterprises and sectors, most recently shale oil. While regulators have to weigh carefully the benefits versus the systemic risks posed by every new product, we cannot simply ban all innovation just because it makes us feel safer.

The broader point is that a measured and well-signalled liberalization of fixed income and derivative markets will probably allow us to reap the benefits of deeper and more liquid markets, while minimizing the risks associated with speculation, competition, and innovation. Over the last few years, we have had to proceed somewhat cautiously on market development because we worried about creating vulnerabilities when global financial markets were fragile. But as macroeconomic stability has strengthened, the